

Staking Rewards

A *staking reward* is a positive incentive by which users receive a bonus in their token balance based on the amount of capital they have contributed to the system. Options for customization include applying a minimum threshold to all staked balances on a pro rata basis, either a fixed or pro rata payout, and a token that is the same or different from the staked one.

The Compound Protocol (which is discussed in Chapter 6) issues staking rewards on user balances that are custodied in a borrowing or lending position. These rewards are paid in a separate token (COMP) funded by custodied COMP, which has a fixed supply, and applied to all staked balances on a pro rata basis. The Synthetix Protocol issues staking rewards on staked SNX, its Protocol token with unlimited supply. The rewards are paid in SNX, funded by inflation, and issued only if the user meets a minimum collateralization ratio threshold.

Slashing (Staking Penalties)

Slashing is the removal of a portion of a user's staked balance, thereby creating a negative staked incentive, and occurs as the result of an undesirable event. A *slashing condition* is a mechanism that triggers a slashing and can be customized by partial or complete removal of funds, liquidation triggered by undercollateralization, detectable malicious user behavior, and necessary contraction triggered by a change in market conditions.